

2025-2026 PRELIMINARY BUDGET

JULY 1, 2025 - JUNE 30, 2026



**INDEPENDENT SCHOOL DISTRICT No. 834
1875 SOUTH GREELEY STREET
STILLWATER, MINNESOTA 55082
WWW.STILLWATERSCHOOLS.ORG**

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SECTION I

INTRODUCTION



2025-2026

SCHOOL BOARD & ADMINISTRATION



School Board:

Alison Sherman	Chair
Andrew Thelander	Vice Chair
Katie Hockert	Clerk
Pete Kelzenberg	Treasurer
Sarah Grcevich	Director
Chris Lauer	Director
Robert Parker	Director

Administration:

Dr. Mike Funk	Superintendent of Schools
Dr. Efe Agbamu	Assistant Superintendent (Teaching & Learning)
Kristine Carlston	Executive Director of Human Resources
Mark Drommerhausen	Executive Director of Operations
Carissa Keister	Chief of Staff/Exec. Director of Strategic Communications
Paul Lee	Executive Director of Student Support Services
Annette Sallman	Executive Director of Community Ed. & Community Relations
Marie Schrul	Chief Financial Officer
Eric Simmons	Director of Technology
Caitlyn Willis	Executive Director of Elementary Education



2025-26 PONY PLAN

Developed by the students, families and staff of Stillwater Area Public Schools

Our Purpose

Why we are here

To inspire curiosity and the love of learning in every child. To provide a wide range of engaging learning opportunities to build the resilience and empathy learners need to successfully navigate their futures.

Our Beliefs

What we stand for

- Everyone belongs
- Everyone has a voice
- All students deserve an excellent education
- The whole child matters
- Curiosity thrives here

Our Personality

Who we are

- **Inclusive and welcoming:** Belonging is woven into the fabric of our community. No matter who you are – or where you were born – we welcome you!
- **Curious:** We ask questions. We challenge ourselves and each other to dig deeper and look at things differently.
- **Resilient:** We have grit and determination. We try harder, and never give up.
- **Empathetic:** We care. Feelings matter. And we learn how to look at the world from other peoples' perspectives.
- **Spirited and enthusiastic:** We have contagious enthusiasm that is unparalleled. Together, we are Ponies.

Strategic Directions

What we commit to creating

- Direction A:** Ensure the learning process is adaptable to meet individual student needs
- Direction B:** Foster a safe, welcoming and inclusive environment for all staff and students
- Direction C:** Utilize systems and align resources in an efficient manner to support learning
- Strategic Direction D:** Develop strong partnerships with the communities we serve

Pony Community Commitments

How we work together

As individuals working, serving and interacting within the Stillwater Area Public Schools, we commit to always:

- Foster a culture of belonging
- Use our voices for good and listen with empathy
- Demonstrate respect for all
- Have high expectations and seek feedback with openness and curiosity
- Embrace new ideas which improve our students' experiences

Key Initiatives

Where we will focus our resources

- Literacy
- Equity and Inclusion
- Social Emotional Learning and Mental Health

Our Focus:

High Quality Instruction

2025-2026

A BRIEF HISTORY



Stillwater Area Public Schools has a long and proud tradition. Minnesota's first schoolhouse was built in Stillwater in 1848, one year before Minnesota became a territory. Stillwater became the state's first school district just two years later. The District, now known as Independent School District No. 834, Stillwater Area Public Schools, has a long tradition of high expectations, high standards, and outstanding achievement. It is also a system dedicated to continuous improvement.

From the first one-room schoolhouse, Stillwater Area Public Schools has grown to serve approximately 8,400 students in seven elementary schools (K-5), two middle schools (grades 6-8), one high school (grades 9-12), one transition programming center serving students ages 18 to 22, and an early childhood family center which serves families with young children, from birth to age 5.

Stretching 30 miles along the scenic St. Croix River, from Marine on St. Croix south to Afton, the District covers approximately 150 square miles. The district encompasses 18 communities, including: Afton, Bayport, Baytown Township, Grant, a portion of Hugo, Lake Elmo, Lakeland, Lakeland Shores, Lake St. Croix Beach, Marine on St. Croix, May Township, Oak Park Heights, St. Mary's Point, Stillwater, Stillwater Township, West Lakeland Township, Withrow, and a portion of Woodbury. The area's population is approximately 69,269.

Transportation services are provided to over 8,000 public, non-public, and charter school students. Buses are scheduled to make over 1,900 stops every day as they transport students to and from over 20 sites, both within and outside the district. On each school day, the district nutrition services team serves approximately 3,100 breakfasts and over 8,000 lunches at 20 school sites (including 8 school sites that have contracted with the school district).

Stillwater has built and maintained an exceptional reputation for excellence across the state and nation. Our schools are recognized as leaders in innovative education. Our students and our staff members are consistently recognized for their successes in academics, fine arts, and athletics. In addition, our district has received the Certificate of Excellence in Financial Reporting award for twenty-one consecutive years. This award validates the credibility of the school system's operations and measures the integrity and technical competence of the business staff.

Stillwater Area Public Schools believes in offering more for every child. From innovative classroom experiences to a wide array of extracurricular activities, we strive to make learning exciting and relevant.

While Stillwater is known for strong academics, exceptional arts programs, and winning sports teams, what truly matters are the relationships our staff builds with our students and families.

We're committed to our students and our staff:

- **Inclusive and Welcoming:** Belonging is woven into the fabric of our community. No matter who you are - or where you were born - we welcome you!
- **Curious:** We ask questions. Challenge ourselves and each other to dig deeper and look at things differently.
- **Resilient:** We have grit and determination. We learn to try harder and never give up.
- **Empathetic:** We care. Feelings matter. And we learn how to look at the world from other peoples' perspectives.
- **Spirited and Enthusiastic:** We have contagious enthusiasm that is unparalleled. Together, we are Ponies.

Our purpose is to inspire curiosity and the love of learning in every child. To provide a wide range of engaging learning opportunities to build the resilience and empathy learners need to successfully navigate their futures. We want our entire community to "Expect More" from Stillwater Area Public Schools.

We work closely with local businesses and organizations to create a strong network of support for our students. This collaboration allows us to provide rich educational experiences that extend beyond the classroom, preparing our students for future success.

At Stillwater Area Public Schools, every student matters, and we are committed to helping each child reach their full potential.



2025-26

PRELIMINARY BUDGET OVERVIEW



INTRODUCTION

One of the areas of focus in the district's Operational Plan has been *Strategic Direction C: to utilize systems and align resources in an efficient manner to support learning*. In the Fall of 2023, the district began its first year of implementing the Priority Based Budgeting strategic plan initiative. Priority Based Budgeting focuses on strategic plan instructional priorities along with statutory requirements for federal and state funding as its guide for resource allocations. This process also identifies the programs that offer the highest value and continues to provide funding for them, while fixing, replacing or eliminating programs or services that have shown limited value or success. The district has almost completed its second year of Priority Based Budgeting with the 2025-26 preliminary budget.

The preliminary budget is adopted by the Board of Education by June 30. Once adopted, the preliminary budget becomes the district's expenditure authority for the fiscal year. It is based on enrollment projections for the upcoming school year, in addition to revenue and expenditure assumptions. During the the fiscal year, the Board will approve a revised budget which includes updates to enrollment projections based on an October 1 student count, along with changes to revenue and expenditure estimates. Depending on the fiscal activity, the budget may be revised again during late spring, primarily to update federal program revenues and expenditures in addition to contractual settlements or legislative changes that may have occurred since the previous revision.

Education finance can vary due to many uncontrollable variables. Budgets are developed with several assumptions and projections that are based on trend data, economic environments, and cautious optimism.

Report Issued by:
Marie Schrul
Chief Financial Officer
schrulm@stillwaterschools.org

2025-26

PRELIMINARY BUDGET OVERVIEW



BUDGET TIMELINE

		2023-24	2024-25	2025-26
Month	Activity	Previous Fiscal Year	Current Fiscal Year	Next Fiscal Year
July 2024	Fiscal year-end close	X		
August 2024	Fiscal year-end close Financial audit conducted Levy planning	X X		X
September 2024	Financial audit conducted Board approves preliminary property tax levy Budget planning for the next fiscal year	X		X X
October 2024	Financial audit conducted Enrollment count & adjustments	X	X	
November 2024	Financial audit presented to the Board for approval	X		
December 2024	Truth in Taxation levy hearing Board certifies final property tax levy Fiscal forecast completed			X X X
January 2025	Annual School Board meeting/resolutions		X	
February 2025	Enrollment projections finalized for next school year Board approves budget guidelines & assumptions Priority Based Budget update presented to the Board			X X X
March 2025	Budget & staffing allocations to schools & programs			X
April 2025	Preliminary budget update presented to the Board Budget revision for the current fiscal year		X	X
May 2025	Preliminary budget update presented to the Board Schools & programs return budgets			X X
June 2025	Preliminary budget update presented to the Board Preliminary Budget Summary book published Board adopts next year's budget			X X X

2025-26

PRELIMINARY BUDGET OVERVIEW

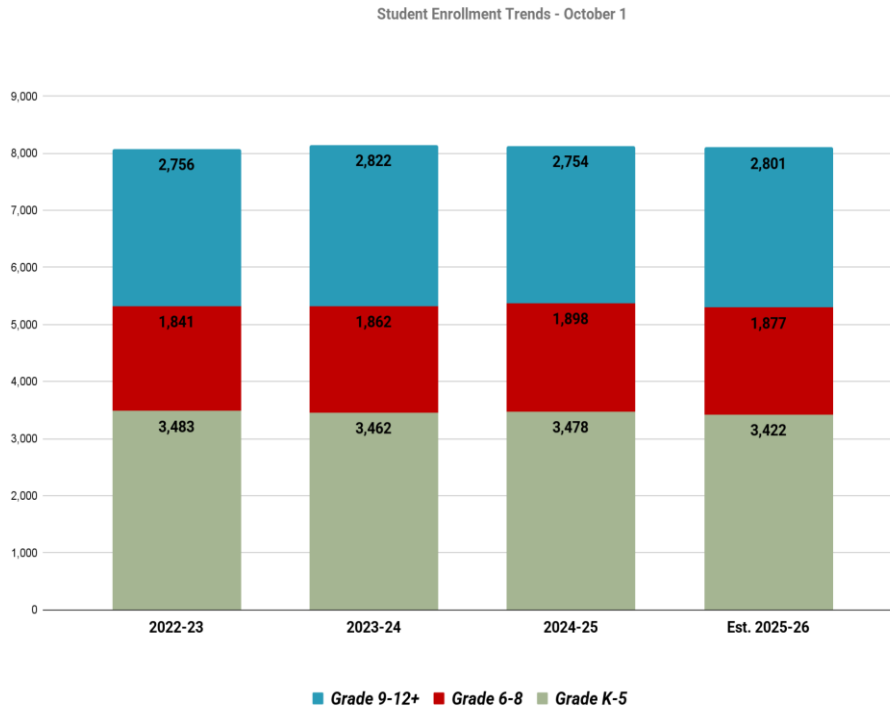


BUDGET ASSUMPTIONS

The district makes assumptions based on variables which comprise the district’s budget. Examples of the variables with additional information are listed below.

Enrollment Trends and Projections

An analysis of trend data is completed to prepare enrollment projections for the upcoming school year. Enrollment projections are adjusted due to new information, actual enrollment on October 1 or other changes that may affect enrollment on a districtwide or individual school basis.



Enrollment in the district is projected to slightly decrease during the 2025-26 school year with projected increases and continued growth during the 2026-27 school year and beyond. The graph reflects October 1 enrollment trends by grade levels, with a projection for the 2025-26 school year.

General Education Revenue

General Education revenue is the largest component of state aid and is generated by the actual number of students and formula allowances set by the legislature. Revenue projections are based on October 1 enrollment with assumptions for open, alternative, and other enrollment options.

Employee Contracts

The preliminary budget includes assumptions for all 2025-26 contractual agreements. For 2025-26, the district will continue with a self-funded health insurance plan. Benefit rates include changes for medical & dental insurance, pension contributions and other benefits as defined by each contractual agreement.

School Allocations

The district prepares the preliminary budget based on enrollment projections. Elementary school staffing allocations are provided through the allocation of sections, based on projected enrollment. Enrollment is periodically reviewed to ensure consistency with Board approved staffing ratios. Secondary school staffing allocations are distributed based on projected enrollment. Allocations are adjusted as needed to address changes in enrollment throughout the school year.

Special Education Revenue

The district's special education revenue is the sum of its initial aid, excess cost aid, and tuition adjustments, all within state special education calculation limits. The amount is then increased by the amount of cross subsidy aid, which recently increased from 6.43% in FY24 to 44% in FY25-FY27 as a result of the 2024 Legislative session. The state special education revenue calculation involves a multi-step projection review of different reimbursement levels based on the district's characteristics and the category of disability. In addition, the initial aid amount includes revenue for special education pupil transportation expenditures. Excess cost aid is another component of revenue that districts receive if there are extremely high levels (formula based) of unreimbursed special education expenditures. Due to the unknown number of students that will be identified as special education students, the district prepares a budget projection with some assumptions for changes in services, knowing that additional monitoring is required due to timing and variability.

Legislative Session

The 2025-26 Preliminary Budget includes a 2.74% increase in the general education formula allowance (from \$7,281/APU in FY25 to \$7,481/APU in FY26) as a result of the 2024 Legislative session. The final details of the 2025 legislative session are still pending as this budget document is being prepared. Any revenue or expenditure changes resulting from the legislative session will be included in the 2025-26 Revised Budget.

For additional information on the district's 2025-26 Preliminary Budget Guidelines and Assumptions, please refer to Section V.

2025-26

PRELIMINARY BUDGET OVERVIEW

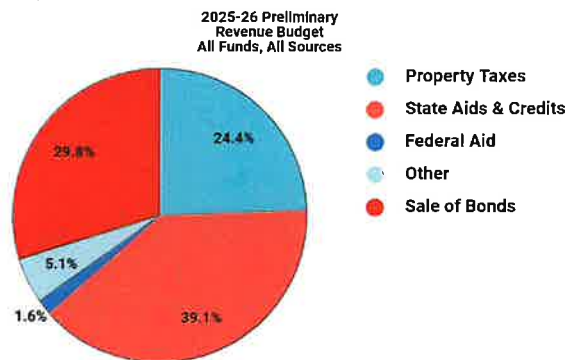


SUMMARY

The 2025-26 Preliminary Budget reflects a total revenue amount of \$269,960,367 and a total expenditure amount of \$313,173,564. The difference of \$43,213,197 includes the planned use of Restricted fund balance in the General Fund (Operating Capital) and the Building Construction Fund, with increases in the Food Service, Community Service, and Debt Service funds. (For budget information by fund, please refer to Section II).

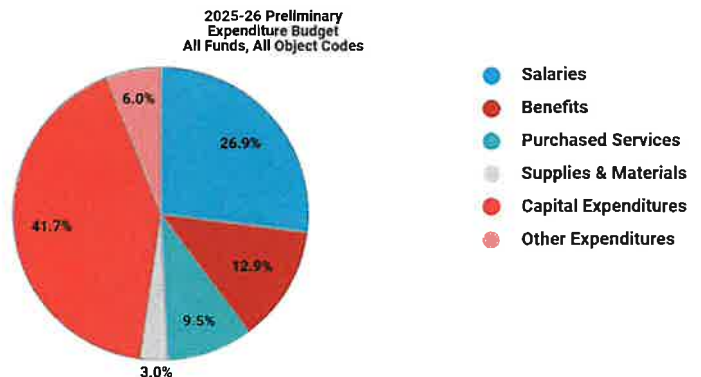
Revenue

Legislative changes to formulas over the years have changed how revenue is received from the state. Of the total projected revenue for 2025-26, State sources are 39.1%, Property Taxes are 24.4%, and Federal, Sale of Bonds and Other are 36.5% (see Figure 2).



Expenditures

In a service organization like a public school district, most expenditures consist of salaries and benefits for employees who provide direct or indirect services to students, i.e., teachers, principals, administrators, support staff (custodians, nutrition service workers, paraprofessionals, technical support, coordinators, supervisors, and specialists). For 2025-26, salaries and benefits are 39.8% of the total district budget as shown in Figure 3. Purchased services (such as heating, electricity, insurance and telecommunication costs) are 9.5% of the total budget. Supplies, materials, capital and other expenditures are 50.7% of the total budget.



SECTION II

2025-26 PRELIMINARY BUDGET



2025-26

PRELIMINARY BUDGET



BUDGET PROCESS AND ASSUMPTIONS

School district budgets are comprised of revenues and expenditures. Revenues are primarily received based on student enrollment and actual expenditures. The largest percentage of the school district's revenue comes from the state through formulas based on student enrollment. The 2025-26 state formula allowance for general education aid is \$7,481 per pupil unit.

Of the total district's general fund expenditures, 74% are salaries and benefits. As an educational service organization serving students, it is expected that employee costs would be the largest portion of the budget. The budget reflects contractual commitments, including salaries, benefits and other costs for each labor agreement.

Below are some of the processes and assumptions that are included in the budgeting cycle.

Enrollment

The preliminary budget is based on a projected enrollment for October 1. The revised budget is based on the actual October 1 enrollment and is estimated to follow historical trends for actual year-end ADM (average daily membership) from which the district receives revenue.

Staffing allocations

Staff are allocated to buildings on a student to staff ratio as determined by the Board of Education.

The staffing ratios for 2025-26 are listed in the chart to the right. Staffing ratios do not equate to average class sizes and are only used to determine the number of FTE (full time equivalent) assigned to each building.

Staffing Allocations		
Grade	2024-25	2025-26
Kindergarten - Gr. 1	21.42	21.42
Grades 2-3	25.42	25.42
Grades 4-5	29.42	29.42
Grade 6	29.42	29.42
Grades 7-12	33.08	33.08

Non-salary budgets

School budgets, for purposes other than employee salary and benefits, are based on a system of allocation formulas. The chart to the right reflects the supply and material allocations per student for the 2024-25 and 2025-26 school years. For the 2025-26 preliminary budget, the supply and material allocations increased by 2%. The library/media allocations decreased to \$8.60 per pupil for the 2025-26 budget. Schools receive non-salary allocations during the spring budgeting process.

Supply and Material Allocations per Student		
Elementary	2024-25	2025-26
Supply and Material	\$ 32.00	\$ 32.65
Library	9.30	8.60
Secondary	2024-25	2025-26
Supply and Material	\$ 62.00	\$ 63.25
Library	9.30	8.60

Staff development

Funds to be used for staff development are based on two percent (2%) of the district's general education aid. For the 2025-26 preliminary budget, this amount is projected to be \$1,317,009. The Teaching and Learning Department manages professional development support and professional development days at a districtwide and school level.

FUND DETAIL

GENERAL FUND

The General Fund is the primary operating budget for the district. It accounts for revenues and expenditures of the district's operations. The general fund includes accounts for capital expenditures and transportation. By statute, the district is obligated to account for capital expenditures separately from the general fund. Although all three accounts comprise the general fund and are reported to the state as such, the preliminary capital expenditure budget information is located at the top of page 3.

		2024-25	2025-26		
General Fund	2023-24	Revised	Preliminary	Rev. / Prel.	Rev. / Prel.
	Actual	Budget	Budget	Change	% Change
Beginning Fund Balance	\$11,126,192	\$8,838,312	\$8,873,520	\$35,208	0.40%
Revenues	142,575,188	152,044,143	153,373,977	1,329,834	0.87%
Expenditures	144,863,068	152,008,935	153,373,977	1,365,042	0.90%
Revenues less Expenditures	(2,287,880)	35,208	0	(35,208)	
Ending Fund Balance	\$8,838,312	\$8,873,520	\$8,873,520	\$0	0.00%

Comparison of the 2025-26 Preliminary Budget to the 2024-25 Revised Budget

Revenue

As highlighted in Section I, enrollment is the largest component of the district's general education revenue. There are formula allowances set by the legislature that drive state aid, levy and grant calculations. The district is projecting a slight enrollment decrease for 2025-26, resulting in less overall revenue available in the General Fund.

Preliminary 2025-26 revenue estimates are \$1,329,834 more than the 2024-25 Revised Budget, primarily due to overall changes in each revenue source as follows: **State Aid** (includes the basic general education formula allowance increase of 2.74%, increases to English Learner (EL) revenue, net a decrease in Compensatory revenue); **Property Tax Levy** (increases to Referendum, Technology Levy and Other Post Employment Benefits (OPEB) Levy, net a decrease in Long Term Facilities Maintenance (LTFM Levy); **Federal** (decrease due to one-time only grant funding); and **Other Revenue** (increase in interest revenue and a decrease in gifts and bequests, as this funding source will be part of the Revised Budget based on activity throughout the school year). A summary of revenue by source and additional details by line item are highlighted in Section III.

Expenditures

Preliminary 2025-26 expenditure estimates are \$1,365,042 more than the 2024-25 Revised Budget, primarily due to increases in salaries, benefits, and other fixed costs such as utilities and property & liability insurance. In addition, the district's property tax levy that was certified last December provides revenue increases that are dedicated to specific expenditure categories. Examples of areas that contribute to the increase in total expenditures include the Technology Levy and the Other Post Employment Benefit Levy. Finally, the district plans to utilize \$1,070,369

of its restricted operating capital fund balance for state-required curriculum purchases and music equipment. The use of the restricted fund balance amount is not reflected in the General Fund totals above. Program category changes in expenditures are highlighted on the following pages with further detail in Section III.

The 2025-26 General Fund balance is projected to decrease by \$1.1 m, due to planned use of operating capital fund balance for curriculum and music equipment purchases. The 2025-26 preliminary general fund unassigned fund balance is projected to be at 1.2%.

Capital Expenditure Account

Included within the general fund is operating capital revenue (state aid and property tax levy) that provides funding for expenditures that meet state statutory guidelines. The table below reflects the 2025-26 projected revenues and expenditures. For fiscal year 2024-25, the Minnesota Department of Education made a modification to its reporting requirements, that required changes to UFARS coding for lease levy expenditures. Due to this change, revenue and expenditures are lower in the capital expenditure account as compared to the 2024-25 Revised Budget. The 2025-26 General Fund Restricted Operating Capital fund balance is projected to decrease by \$256,714, offset by an increase to the lease levy fund balance.

		2024-25	2025-26		
General Fund	2023-24	Revised	Preliminary	Rev. / Prel.	Rev. / Prel.
Capital Expenditure Account	Actual	Budget	Budget	Change	% Change
Beginning Fund Balance	\$6,344,246	\$4,044,296	\$3,986,311	\$(57,985)	-1.43%
Revenues	4,039,591	4,316,055	2,179,328	(2,136,727)	-49.51%
Expenditures	6,339,541	4,374,040	2,436,042	(1,937,998)	-44.31%
Revenues less Expenditures	(2,299,950)	(57,985)	(256,714)	(198,729)	
Ending Fund Balance	\$4,044,296	\$3,986,311	\$3,729,597	\$(256,714)	-6.44%

*Note: the use of \$1,070,369 in restricted operating capital fund balance for curriculum and music equipment is not reflected in the capital expenditure totals above.

Expenditures by Program

The district reports expenditures by program category series as defined by Uniform Financial Accounting and Reporting Standards (UFARS) which is mandated by the Minnesota Department of Education. The table below shows the total General Fund by program category series and compares the 2024-25 Revised Budget to the 2025-26 Preliminary Budget.

		2024-25	2025-26		
General Fund Program Category	2023-24	Revised	Preliminary	Rev. / Prel.	Rev. / Prel.
	Actual	Budget	Budget	Change	% Change
Administration	\$3,828,091	\$3,893,752	\$4,243,825	\$350,073	8.99%
District Support Services	7,973,283	8,546,489	8,968,047	421,558	4.93%
Regular & Vocational Instruction	58,891,793	61,422,836	63,241,578	1,818,742	2.96%
Special Education Instruction	26,336,101	27,194,198	28,461,991	1,267,793	4.66%
Community Education and Services	0	233,154	236,834	3,680	1.58%
Instructional Support Services	9,310,662	10,602,857	9,289,230	(1,313,627)	-12.39%
Pupil Support Services	5,749,891	6,104,365	6,114,572	10,207	0.17%
Transportation (Pupil Support)	12,784,917	11,663,498	12,640,304	976,806	8.37%
Operations and Maintenance	19,167,988	21,337,786	19,032,596	(2,305,190)	-10.80%
Fiscal and Other Fixed Costs	820,342	1,010,000	1,145,000	135,000	13.37%
Total	\$144,863,068	\$152,008,935	\$153,373,977	\$1,365,042	0.90%

Administration

This program series accounts for the expenditures related to the Board of Education, Superintendent, Teaching and Learning administration, school principals and support staff, and related supplies and materials for these departments.

The increase of \$350,073 as compared to the 2024-25 Revised Budget is reflective of planned staffing levels and contractual agreements (employee salary & benefit increases).

District Support Services

This program series accounts for expenditures related to districtwide support in the areas of Finance, Administrative Services, Human Resources, Admin Technology, Communications, and related supplies and materials for these departments.

The increase of \$421,558 as compared to the 2024-25 Revised Budget is reflective of planned staffing levels and contractual agreements (employee salary and benefit increases), Admin technology investments (tied to Technology Levy revenue), and a paid FMLA tax (employer share) as defined in recent legislation that goes into effect on 1/1/26.

Regular and Vocational Instruction

This program series accounts for elementary, secondary, and vocational teachers, instructional paraprofessionals, extra and co-curricular staff, and related supplies and materials for these departments.

The net increase of \$1,818,742 as compared to the 2024-25 Revised Budget is reflective of planned staffing levels and contractual agreements (employee salary and benefit increases) along with program investments for science, art, and immersion staffing. These increases are offset by reductions in staffing due to changes in enrollment, in addition to reductions in technology application software and curriculum that was identified during the priority based budgeting process.

Special Education Instruction

This program series accounts for all student support services administrators, special education teachers, special education paraprofessionals, special education support staff, psychologists, and related supplies and materials for these departments.

The increase of \$1,267,793 as compared to the 2024-25 Revised Budget is due to planned staffing and contractual agreements (employee salary and benefit increases) net reductions in federal special education grant expenditures.

Community Education and Services

This program series accounts for programs, events and activities beyond the scope of regular K-12 schooling that enable people of all ages to develop skills and abilities, to find local resources and services and to work toward improvements in their lives and communities.

The increase of \$3,680 as compared to the 2024-25 Revised Budget is related to funding for the school readiness plus program (transitioning to the voluntary pre-k program in 2025-26). Funding is accounted for in the General Fund.

Instructional Support Services

This program accounts for the expenditures related to assistant principals, assistant principals' support staff, instructional support services staff, and librarians. This program also accounts for curriculum expenditures and related staff development as well as related supplies and materials for these departments.

The decrease of \$1,313,627 as compared to the 2024-25 Revised Budget is due to planned staffing and contractual agreements (employee salary and benefit increases), and an overall

reduction in federal, state and local grants, which will be included in the 2025-26 Revised Budget based on award activity throughout the fiscal year. Reductions were also made to Teaching and Learning and Staff Development budgets, net an increase in Technology Levy investments of salaries & benefits and software licenses.

Pupil Support Services (excluding Transportation)

This program accounts for expenditures related to counselors, lunchroom supervision, related support staff, and related supplies and materials for these departments.

The increase of \$10,207 as compared to the 2024-25 Revised Budget is primarily due to planned staffing and contractual agreements (employee salary and benefit increases), net social worker staffing reductions at the secondary level.

Transportation (Pupil Support)

There is an increase of \$976,806 as compared to the 2024-25 Revised Budget as the district continues its review for cost savings and efficiencies in this area.

Operations and Maintenance (Sites & Buildings)

Expenditures in this program category include Long Term Facility Maintenance (LTFM), capital expenditure projects, custodial, grounds and related support staff, utilities, and related supplies and materials for these departments.

The decrease of \$2,305,190 as compared to the 2024-25 Revised Budget is mainly due to decreases in Long Term Facility Maintenance (LTFM) general fund projects, net decreases in capital expenditure project expenditures that were one-time only in 2024-25 (i.e. wireless network).

Fiscal and Other Fixed Costs

This program accounts for expenditures related to the premiums for the district's property and liability and errors and omissions insurance as well as payments of principal and interest for the retirement of long-term and non-bonded obligations.

The increase of \$135,000 as compared to the 2024-25 Revised Budget is due to an increase in property and liability insurance.

FOOD SERVICE FUND

The Nutrition Services (Food Service) Fund accounts for revenues and expenditures for providing nutrition services in schools. Stillwater Area Public Schools has partnered with Mahtomedi Public School District, Northeast Metro 916 Intermediate School District and some charter/private schools to provide nutrition services on a fee basis. The additional revenue helps to cover the administrative costs related to Nutrition Services.

		2024-25	2025-26		
Food Service Fund	2023-24	Revised	Preliminary	Rev. / Prel.	Rev. / Prel.
	Actual	Budget	Budget	Change	% Change
Beginning Fund Balance	\$3,102,952	\$3,774,272	\$3,674,655	\$(99,617)	-2.64%
Revenues	7,639,754	7,814,737	7,887,103	72,366	0.93%
Expenditures	6,968,433	7,914,354	7,859,232	(55,122)	-0.70%
Revenues less Expenditures	671,320	(99,617)	27,871	127,488	
Ending Fund Balance	\$3,774,272	\$3,674,655	\$3,702,526	\$27,871	0.76%

For fiscal year 2025-26, revenues are projected to increase by \$72,366 due to state aid and commodity distribution funding increases, net a decrease in free and reduced lunch program funding. Expenditures are projected to decrease by \$55,122 overall in the areas of supplies, signage, food, milk, and other equipment. The 2025-26 Food Service fund balance is projected to increase by \$127,488 as compared to the 2024-25 Revised Budget.

COMMUNITY SERVICE FUND

The Community Service Fund is used to record all revenues and expenditures related to providing a community education program.

		2024-25	2025-26		
Community Service Fund	2023-24	Revised	Preliminary	Rev. / Prel.	Rev. / Prel.
	Actual	Budget	Budget	Change	% Change
Beginning Fund Balance	\$466,780	\$571,694	\$499,494	\$(72,200)	-12.63%
Revenues	8,849,231	9,296,435	9,595,953	299,518	3.22%
Expenditures	8,744,317	9,368,635	9,284,092	(84,543)	-0.90%
Revenues less Expenditures	104,915	(72,200)	311,861	384,061	
Ending Fund Balance	\$571,694	\$499,494	\$811,355	\$311,861	62.44%

For fiscal year 2025-26, overall revenue is projected to increase by \$299,518 as a result of increases to School Age Care and levy funding, net decreases in other program areas. Expenditures are projected to decrease overall by \$84,543, which includes meeting contractual agreements and changes to programming for 2025-26. The 2025-26 Community Service fund balance is projected to increase by \$384,061 as compared to the 2024-25 Revised Budget.

BUILDING CONSTRUCTION FUND

The Building Construction Fund is used to record financial activity related to a building construction program, resulting from the sale of general obligation bonds (school building or facilities maintenance) or certificates of participation.

		2024-25	2025-26		
Building Construction Fund	2023-24	Revised	Preliminary	Rev. / Prel.	Rev. / Prel.
	Actual	Budget	Budget	Change	% Change
Beginning Fund Balance	\$7,805,545	\$112,365,000	\$76,058,219	\$(36,306,781)	-32.31%
Revenues	121,264,113	652,000	80,545,000	79,893,000	12253.53%
Expenditures	16,704,658	36,958,781	125,140,042	88,181,261	238.59%
Revenues less Expenditures	104,559,455	(36,306,781)	(44,595,042)	(8,288,261)	
Ending Fund Balance	\$112,365,000	\$76,058,219	\$31,463,177	\$(44,595,042)	-58.63%

In November 2023, district voters authorized the issuance of up to \$174,845,000 in General Obligation School Building bonds in a bond referendum election. Funds were dedicated to construction projects, including the replacement of Lake Elmo Elementary and Andersen Elementary with new buildings, Oak-Land Middle School improvements, Stillwater Area High School improvements, in addition to safety and security improvements throughout the district.

On January 9, 2024, the School Board approved the resolution awarding the sale of General Obligation School Building, Facilities Maintenance and Refunding Series 2024A bonds. Proceeds from the General Obligation School Building and Facilities Maintenance bonds in the amount of \$118,461,415 were deposited in separate accounts in the building construction fund.

For fiscal year 2025-26, the district anticipates issuing the remaining \$74,845,000 of General Obligation School Building bonds and \$5,700,000 of Facilities Maintenance bonds for an additional total of \$80,545,000 in other financing sources being added to the fund. Projected expenditures through fiscal year 2025-26 is anticipated to be \$125,140,042 based on capital project schedule estimates reviewed and provided by the operations department. The 2025-26 Building Construction ending fund balance is projected to be \$31,463,177.

DEBT SERVICE FUND

The Debt Service Fund is used to account for the district's principal and interest payments as well as the revenue received for such payments. The principal and interest payments are for the district's long-term debt or approved bond issues.

		2024-25	2025-26		
Debt Service Fund	2023-24	Revised	Preliminary	Rev. / Prel.	Rev. / Prel.
	Actual	Budget	Budget	Change	% Change
Beginning Fund Balance	\$2,226,079	\$2,613,340	\$3,385,748	\$772,408	29.56%
Revenues	71,657,384	17,521,879	18,551,334	1,029,455	5.88%
Expenditures	71,270,123	16,749,471	17,509,221	759,750	4.54%
Revenues less Expenditures	387,261	772,408	1,042,113	269,705	
Ending Fund Balance	\$2,613,340	\$3,385,748	\$4,427,861	\$1,042,113	30.78%

For fiscal year 2025-26, projected revenue and expenditures reflect actual bond and interest activity within the debt service fund.

CUSTODIAL/TRUST FUND

The Custodial Fund represents a flow through mechanism in which the district receives and distributes funds for scholarships, but has no financial benefit from or control over.

		2024-25	2025-26		
Custodial/Trust Fund (Scholarships)	2023-24	Revised	Preliminary	Rev. / Prel.	Rev. / Prel.
	Actual	Budget	Budget	Change	% Change
Beginning Fund Balance	\$59,174	\$51,426	\$51,426	\$0	0.00%
Revenues	6,084	7,000	7,000	0	0.00%
Expenditures	13,831	7,000	7,000	0	0.00%
Revenues less Expenditures	(7,748)	0	0	0	
Ending Fund Balance	\$51,426	\$51,426	\$51,426	\$0	0.00%

For fiscal year 2025-26, projected revenue and expenditures reflect estimated scholarship activity within the custodial fund.

OPEB TRUST

In February 2009, \$19.2 million of general obligation taxable OPEB (Other Post Employment Benefits) bonds were sold to be used to help offset future retirement expenditures. The funds were placed in an irrevocable trust, dedicated to only be used for this purpose. As of June 30, 2024, the net position balance in the OPEB trust account was \$4,418,741.

INTERNAL SERVICE FUND

On July 1, 2012 the district went to self-funded insurance for health insurance. The activity for both health and dental insurance are now in an internal service fund. As of June 30, 2024, the net position balance in the internal service fund for health and dental insurance was \$1,869,012.

2025-26 PRELIMINARY BUDGET SUMMARY

2025-26 PROJECTED REVENUES, EXPENDITURES AND FUND BALANCE BY FUND

Fund	Proj. Fund Balance 6/30/25	2025-26 Revenue Budget	2025-26 Expenditure Budget	Proj. Fund Balance 6/30/26
General Fund	8,873,520	153,373,977	153,373,977	8,873,520
Food Service Fund	3,674,655	7,887,103	7,859,232	3,702,526
Community Service Fund	499,494	9,595,953	9,284,092	811,355
Sub-Total Operating Funds	13,047,669	170,857,033	170,517,301	13,387,401
Building Construction Fund	76,058,219	80,545,000	125,140,042	31,463,177
Debt Service Fund	3,385,748	18,551,334	17,509,221	4,427,861
Sub-Total Non-Operating Funds	79,443,967	99,096,334	142,649,263	35,891,038
Trust Fund	51,426	7,000	7,000	51,426
Total All Funds	92,543,062	269,960,367	313,173,564	49,329,865

SECTION III

SUMMARY



SUMMARY OF REVENUES BY SOURCE CATEGORY AND FUND

Fund	Source Category	2023-24 Actual	Pct. of Total	2024-25 Rev. Bud.	2025-26 Prelim. Budget	Pct. of Total	Revised - Preliminary Percent Change	Amount Change
01	General Fund							
	Property Taxes	40,783,143	28.60%	44,497,246	46,499,172	30.32%	4.50%	2,001,926
	State Aids & Credits	93,579,000	65.63%	99,121,585	100,445,135	65.49%	1.34%	1,323,550
	Federal Aid	3,388,082	2.38%	3,355,991	2,290,270	1.49%	-31.76%	(1,065,721)
	Other	4,824,963	3.38%	5,069,321	4,139,400	2.70%	-18.34%	(929,921)
	Total General Fund	142,575,188	100.00%	152,044,143	153,373,977	100.00%	0.87%	1,329,834
02	Food Service							
	State Aids & Credits	3,325,382	43.53%	3,727,000	3,800,500	48.19%	1.97%	73,500
	Federal Aid	2,446,107	32.02%	2,248,592	2,207,828	27.99%	-1.81%	(40,764)
	Other	1,868,265	24.45%	1,839,145	1,878,775	23.82%	2.15%	39,630
	Total Food Service	7,639,754	100.00%	7,814,737	7,887,103	100.00%	0.93%	72,366
04	Community Service							
	Property Taxes	1,054,989	11.92%	1,168,826	1,347,793	14.05%	15.31%	178,967
	State Aids & Credits	1,141,069	12.89%	1,172,629	1,067,426	11.12%	-8.97%	(105,203)
	Federal Aid	6,958	0.08%	9,031	9,074	0.09%	0.48%	43
	Other	6,646,215	75.11%	6,945,949	7,171,660	74.74%	3.25%	225,711
	Total Comm. Service	8,849,231	100.00%	9,296,435	9,595,953	100.00%	3.22%	299,518
06	Building Construction							
	Other	2,802,698	2.31%	652,000	0	0.00%	-100.00%	(652,000)
	Sale of Bonds	118,461,415	97.69%	0	80,545,000	100.00%	0.00%	80,545,000
	Total Bldg Construction	121,264,113	100.00%	652,000	80,545,000	100.00%	12253.53%	79,893,000
07	Debt Service							
	Property Taxes	9,644,098	13.46%	17,115,779	17,940,334	96.71%	4.82%	824,555
	State Aids & Credits	115,017	0.16%	106,000	111,000	0.60%	4.72%	5,000
	Other	579,990	0.81%	300,100	500,000	2.70%	66.61%	199,900
	Sale of Bonds	61,318,279	85.57%	0	0	0.00%	0.00%	0
	Total Debt Service	71,657,384	100.00%	17,521,879	18,551,334	100.00%	5.88%	1,029,455
18	Custodial Fund							
	Other	6,084	100.00%	7,000	7,000	100.00%	0.00%	0
All Funds								
	Property Taxes	51,482,230	14.63%	62,781,851	65,787,299	24.37%	4.79%	3,005,448
	State Aids & Credits	98,160,467	27.89%	104,127,214	105,424,061	39.05%	1.25%	1,296,847
	Federal Aid	5,841,148	1.66%	5,613,614	4,507,172	1.67%	-19.71%	(1,106,442)
	Other	16,728,215	4.75%	14,813,515	13,696,835	5.07%	-7.54%	(1,116,680)
	Sale of Bonds	179,779,695	51.07%	0	80,545,000	29.84%	0.00%	80,545,000
	Total All Funds	351,991,754	100.00%	187,336,194	269,960,367	100.00%	44.10%	82,624,173

SUMMARY OF EXPENDITURES BY OBJECT CATEGORY AND FUND

Fund	Object Category	2023-24 Actual	Pct. of Total	2024-25 Rev. Bud.	2025-26 Prelim. Budget	Pct. of Total	Revised - Preliminary	
							Percent Change	Amount Change
01	General Fund							
	Salaries	69,555,051	48.01%	74,101,374	76,049,141	49.58%	2.63%	1,947,767
	Benefits	33,403,327	23.06%	34,819,291	36,960,311	24.10%	6.15%	2,141,020
	Purchased Services	28,609,765	19.75%	27,105,898	27,793,627	18.12%	2.54%	687,729
	Supplies & Materials	5,523,152	3.81%	5,384,661	5,603,934	3.65%	4.07%	219,273
	Capital Expenditures	6,031,670	4.16%	9,236,106	5,601,499	3.65%	-39.35%	(3,634,607)
	Debt Service	1,258,900	0.87%	1,250,500	1,250,500	0.82%	0.00%	0
	Other Expenditures	481,202	0.33%	111,105	114,965	0.07%	3.47%	3,860
	Total General Fund	144,863,068	100.00%	152,008,935	153,373,977	100.00%	0.90%	1,365,042
02	Food Service							
	Salaries	2,213,224	31.76%	2,691,925	2,742,450	34.89%	1.88%	50,525
	Benefits	977,610	14.03%	1,270,607	1,280,814	16.30%	0.80%	10,207
	Purchased Services	290,600	4.17%	301,250	288,125	3.67%	-4.36%	(13,125)
	Supplies & Materials	3,004,212	43.11%	3,342,827	3,289,143	41.85%	-1.61%	(53,684)
	Capital Expenditures	479,839	6.89%	303,500	255,000	3.24%	-15.98%	(48,500)
	Other Expenditures	2,947	0.04%	4,245	3,700	0.05%	-12.84%	(545)
	Total Food Service	6,968,433	100.00%	7,914,354	7,859,232	100.00%	-0.70%	(55,122)
04	Community Service							
	Salaries	5,270,129	60.27%	5,529,749	5,321,192	57.32%	-3.77%	(208,557)
	Benefits	1,613,850	18.46%	1,831,039	1,972,231	21.24%	7.71%	141,192
	Purchased Services	1,531,235	17.51%	1,606,895	1,587,783	17.10%	-1.19%	(19,112)
	Supplies & Materials	299,537	3.43%	351,467	352,478	3.80%	0.29%	1,011
	Capital Expenditures	3,838	0.04%	17,465	18,623	0.20%	6.63%	1,158
	Other Expenditures	25,727	0.29%	32,020	31,785	0.34%	-0.73%	(235)
	Total Comm. Service	8,744,317	100.00%	9,368,635	9,284,092	100.00%	-0.90%	(84,543)
06	Building Construction							
	Salaries	43,595	0.26%	40,503	274,548	0.22%	577.85%	234,045
	Benefits	12,471	0.07%	12,278	70,784	0.06%	476.51%	58,506
	Purchased Services	2,148,438	12.86%	6,076,000	0	0.00%	-100.00%	(6,076,000)
	Capital Expenditures	14,499,340	86.80%	30,830,000	124,794,710	99.72%	304.78%	93,964,710
	Other Expenditures	813	0.00%	0	0	0.00%	0.00%	0
	Total Bldg. Const.	16,704,658	100.00%	36,958,781	125,140,042	100.00%	1259.14%	88,181,261
07	Debt Service							
	Other	71,270,123	100.00%	16,749,471	17,509,221	100.00%	4.54%	759,750
18	Custodial Fund							
	Other	13,831	100.00%	7,000	7,000	100.00%	0.00%	0
	All Funds							
	Salaries	77,082,000	31.01%	82,363,551	84,387,331	26.95%	2.46%	2,023,780
	Benefits	36,007,258	14.49%	37,933,215	40,284,140	12.86%	6.20%	2,350,925
	Purchased Services	32,580,039	13.11%	35,090,043	29,669,535	9.47%	-15.45%	(5,420,508)
	Supplies & Materials	8,826,901	3.55%	9,078,955	9,245,555	2.95%	1.84%	166,600
	Capital Expenditures	21,014,688	8.45%	40,387,071	130,669,832	41.72%	223.54%	90,282,761
	Other Expenditures	73,053,544	29.39%	18,154,341	18,917,171	6.04%	4.20%	762,830
	Total All Funds	248,564,430	100.00%	223,007,176	313,173,564	100.00%	40.43%	90,166,388

BUDGET DETAIL SUMMARY

REVENUE BY SOURCE

SRC DESCRIPTION	2023-24 ACTUAL	2024-25 REVISED	2025-26 PRELIM.	NOTES
GENERAL FUND				
001 Property Tax Levy-General	37,369,397	43,627,283	45,747,106	Increase due to Technology Levy, Other Post Employment Benefits (OPEB) Levy, Referendum (inflation), net a decrease in Long Term Facilities Mtc (LTFM) Levy
004 TIF	23,670	0	0	
005 Reemployment Compensation Levy	167,596	167,596	49,699	Decrease is due to the Pay 2025 reemployment levy and adjustments
009 Fiscal Disparities	2,520,183	0	0	
010 County Apportionment	699,867	699,867	699,867	
019 Misc. County Tax Revenue	2,430	2,500	2,500	
022 Sped Purch Serv from Oth MN	88,824	60,000	50,000	
050 Fees from Patrons	907,017	738,560	716,000	
051 Parking Fees	162,226	160,000	165,000	
053 Transcript Fees	701	0	0	
060 Admission/Student Act Revenue	253,881	232,000	205,000	
071 Medical Assistance Revenue	221,543	294,500	230,000	
088 E-Rate Revenue	61,152	345,000	300,000	
092 Interest Earnings	687,680	400,000	600,000	Increase due to projected interest earnings
093 Rent for School Facilities	415,708	372,900	452,900	
096 Gifts & Bequests	909,947	1,920,761	970,500	The 2025-26 Revised Budget will include any gifts & bequests beyond the current projection
099 Miscellaneous Local Revenue	537,350	374,000	324,500	The 2025-26 Revised Budget will include any misc. local revenue beyond the current projection
201 Endowment Fund Apportionment	488,628	556,914	556,914	
211 General Education Aid	68,911,671	71,042,619	72,818,172	Increase due to general education formula allowance increase of 2.74%, increases to English Learner (EL) revenue, net a decrease due to lower projected enrollment and a decrease in Compensatory Ed revenue
213 Shared Time Aid	14,824	24,500	24,500	
227 Abatement Aid	3,157	3,155	3,155	
234 Homestd/Agr Mkt Value Credit	15,167	14,000	14,000	
300 State Aids Rec'd from DOE	2,952,034	4,062,961	3,632,013	Decrease due to Read Act funding (Literacy Aid & Teachers Compensation Training received in 2024-25 only), offset by an increase in Student Support Personnel Aid
308 Telecomm/Int Access Equity Aid	140,608	0	0	
360 Special Education Aid	20,509,516	22,900,007	23,064,964	
369 Other State Credits	169,235	429,050	271,417	Includes hourly worker unemployment
370 Other Aid from DOE	21,267	88,379	60,000	The 2025-26 Revised Budget will include any Other Aid received from the Department of Education beyond the current projection
397 TRA/PERA Special Funding Revenue	352,893	0	0	
400 Federal Aids rec'd thru DOE	3,318,701	3,319,869	2,290,270	Decrease due to one time only grant carryover/funding in 2024-25; any new grants will be included with the 2025-26 Revised Budget
405 Federal Aid rec'd thru Other	63,821	36,122	0	The 2025-26 Revised Budget will include any Federal grants beyond the current projection
500 Federal Aids rec'd from Fed	5,560	0	0	
619 Cost of Materials for Profit	-102,787	-90,000	-90,000	
620 Sales of Materials for Profit	248,960	240,000	195,500	
621 Sale of Materials Purch-Resale	7,031	10,000	10,000	
624 Sale of Equipment	5,098	11,600	10,000	
625 Insurance Recovery	16,137	0	0	
628 Judgements for School District	404,495	0	0	
Total	142,575,188	152,044,143	153,373,977	

BUDGET DETAIL SUMMARY

REVENUE BY SOURCE

SRC DESCRIPTION	2023-24 ACTUAL	2024-25 REVISED	2025-26 PRELIM.	NOTES
FOOD SERVICE FUND				
021 Sales to Mahtomedi	951,134	914,500	912,000	
092 Interest Earnings	130,899	50,000	50,000	
300 State Aids Rec'd from DOE	3,325,382	3,727,000	3,800,500	Increase is due to a funding increase
400 Federal Aids Rec'd thru DOE	3,256	0	0	
471 School Lunch Program	654,209	485,000	505,000	
472 Free and Reduced Lunch Program	861,413	925,000	850,000	Decreased to reflect projected revenue
474 Commodity Distribution Program	497,820	408,592	487,828	Increased due to additional commodities per MDE
476 School Breakfast Program	346,271	380,000	360,000	
479 Summer Food Service Program	83,139	50,000	5,000	Decreased the number of serving days
601 Food Service Sales to Pupils	571,904	669,420	710,600	
602 Food Service Sale of Milk	3,172	3,425	2,250	
606 Food Service Sales to Adults	45,173	43,900	47,425	
608 Special Function Food Sales	165,983	157,900	156,500	
Total	7,639,754	7,814,737	7,887,103	
COMMUNITY SERVICE FUND				
001 Property Tax Levy-General	989,728	1,168,826	1,347,793	Increased primarily to reflect additional School Age Care levy revenue
009 Fiscal Disparities	65,261	0	0	
021 Tuition from MN School Dists	303,950	227,510	230,235	
040 Tuition	1,441,451	1,609,136	1,261,828	Decreased due to school readiness and Pathways I
050 Fees from Patrons	428,936	427,255	408,438	
060 Admission/Student Act Revenue	2,628	0	0	
092 Interest Earnings	70,430	0	50,000	Increased due to interest not being included in the 2024-25 budget
096 Gifts & Bequests	63,346	58,891	56,619	
099 Miscellaneous Local Revenue	13,530	40,835	15,780	Decreased primarily due to Pathways I
227 Abatement Aid	869	0	0	
234 Homestd/Agr Mrkt Value Credit	975	0	0	
300 State Aids Rec'd from DOE	599,660	612,583	545,635	Decreased primarily for ECFE and Preschool Screening
301 Nonpublic Aid	90,747	131,853	131,853	
369 Other State Credits	170,835	178,800	162,045	Decreased to reflect projected revenue for the Great Starts Stabilization Grant
370 Other Aid from DOE	277,983	249,393	227,893	Decreased to reflect projected ABE funding
405 Federal Aid Rec'd thru Other	6,958	9,031	9,074	
510 Adults with Disabilities	765	4,000	4,000	
548 Gymnastics	71,018	87,859	88,903	
549 Aquatics	34,294	30,000	30,000	
551 Adult Athletics	33,109	25,000	17,000	
552 Adult Enrichment	44,650	70,000	60,000	
553 Youth Athletics	249,314	250,000	240,000	
554 Camps and Clinics	208,664	180,000	160,000	Decreased due to lower enrollment
562 Instructional Music	34,065	40,112	64,650	Increased due to an additional program
564 Special Events	175,786	165,000	185,000	
570 School Age Care Tuition	2,415,489	2,690,995	3,372,585	Increased due to expanded programming
571 School Age Care Preschool	159,596	148,523	101,269	
585 Youth Development/Youth Serv	447,422	450,000	440,000	

BUDGET DETAIL SUMMARY

REVENUE BY SOURCE

SRC DESCRIPTION	2023-24 ACTUAL	2024-25 REVISED	2025-26 PRELIM.	NOTES
591 Facilities Use	443,183	425,000	370,000	
592 Turf Fields Use	4,590	15,833	15,353	
Total	8,849,231	9,296,435	9,595,953	

BUILDING CONSTRUCTION FUND

092 Interest Earnings	2,763,636	652,000	0	
099 Misc. Local Revenue	39,062	0	0	
631 Sale of Bonds	118,461,415	0	80,545,000	Increased due to the projected sale of bonds
Total	121,264,113	652,000	80,545,000	

DEBT SERVICE FUND

001 Property Tax Levy-General	9,041,501	17,115,779	17,940,334	Increased to reflect levy proceeds
009 Fiscal Disparities	602,597	0	0	
092 Interest Earnings	579,990	300,100	500,000	Increased to reflect projected interest earnings
234 Homestd/Agr Mkt Value Credit	8,995	11,000	11,000	
258 Other State Credits	106,021	95,000	100,000	
631 Sale of Bonds	61,318,279	0	0	
Total	71,657,384	17,521,879	18,551,334	

CUSTODIAL FUND (SCHOLARSHIPS)

All Gift Directed Revenues	6,084	7,000	7,000	
Total	6,084	7,000	7,000	

EXPENDITURE BY OBJECT

OBJ DESCRIPTION	2023-24 ACTUAL	2024-25 REVISED	2025-26 PRELIM.	NOTES
GENERAL FUND				
100 Administrators	1,877,897	2,307,442	2,471,648	Increase reflects planned staffing levels and employee contractual agreement; increase in Tech Levy staffing
101 School Board	35,501	38,005	46,108	
110 Principals	2,581,941	2,606,825	2,712,628	Increase reflects planned staffing levels and employee contractual agreement
120 Supervisors	926,282	1,229,064	890,221	Overall change reflects an increase in employee contractual agreement with decreases in projected staffing as related to Priority Based Budgeting (federal grant)
121 Confidential/Specialists	1,688,261	1,785,124	1,663,503	Overall change reflects an increase in employee contractual agreement with decreases in projected staffing (Technology Levy)
122 Subs-Health Specialists	8,118	10,000	10,000	
140 Teachers	40,203,548	41,932,816	45,053,608	Overall change reflects an increase in employee contractual agreement with planned changes to FTE staffing levels as related to Priority Based Budgeting (science, art, immersion, music, GATE, BARR, and enrollment)
141 Paraprofessionals	864,526	1,101,582	1,211,682	Increase reflects planned staffing levels and employee contractual agreement
142 Subs-Paraprofessionals	956	5,300	5,300	
143 Coordinators	2,340,257	1,704,405	1,512,958	Overall change reflects an increase in employee contractual agreement with decreases in projected staffing levels as related to Priority Based Budgeting (Teaching & Learning)
144 Librarians	265,990	274,861	312,476	
145 Subs-Teacher	83,516	100,000	2,486	Reflects planned staffing levels (also see object 150, 301)
150 Subs-Teacher School Business	15,646	15,751	113,512	Reflects planned staffing levels (also see object 145, 301)
151 Occupational Therapists	399,735	405,397	460,378	Increase reflects planned staffing levels and employee contractual agreement
152 Speech Language Pathologists	2,057,000	2,116,070	2,422,564	Increase reflects planned staffing levels and employee contractual agreement
154 School Nurse	419,913	428,265	473,018	Increase reflects planned staffing levels and employee contractual agreement
155 Health Care Specialists	511,339	530,943	593,673	Increase reflects planned staffing levels and employee contractual agreement
156 School Social Worker	772,479	849,732	660,092	Overall change reflects an increase in employee contractual agreement with decreases in projected staffing levels as related to Priority Based Budgeting
157 Psychologists	1,101,064	1,161,188	1,290,170	Increase reflects planned staffing levels and employee contractual agreement
161 Paraprofessionals - Certified	2,830,417	3,106,311	3,056,654	Overall change reflects an increase in employee contractual agreement with decreases in projected staffing levels (Special Education)
162 Paraprofessionals - One-to-One	191,089	203,793	196,219	
165 School Counselors	1,276,974	1,317,144	1,444,987	Increase reflects planned staffing levels and employee contractual agreement
168 Security Specialist	156,697	141,955	148,880	
170 Tech Support	3,054,539	3,451,041	3,396,341	Overall change reflects an increase in employee contractual agreements with decreases in projected staffing levels as related to Priority Based Budgeting (program reductions)
171 Subs-Tech Support	20,363	16,885	18,770	
172 Custodians	2,688,599	2,809,418	3,004,040	Increase reflects planned staffing levels and employee contractual agreement
173 Overtime	153,477	131,290	122,760	
174 DAPE Specialists	267,081	279,216	297,895	
175 Cultural Liaisons	0	0	15,000	
176 Subs-Custodian	232,025	202,000	202,000	
177 Crossing Guards	8,278	12,054	11,678	
178 Lunchroom Supervisors-Licensed	14,168	10,000	10,000	
180 Coaches	849,113	815,497	740,497	Reflects planned staffing levels
185 Advisors	205,188	202,493	196,493	
186 Other Salary Payments-Non-Licensed	211,642	255,911	130,880	Reflects planned staffing payments to support programs
189 Other Salary Payments-Licensed	1,241,428	1,514,657	1,150,022	Reflects planned staffing payments to support programs; Read Act teachers compensation training allocation was included in the 2024-25 Revised Budget. Funds will be set aside in fund balance if not spent.
195 Teacher Retirement Pay Differential	0	1,028,939	0	
210 FICA	5,147,181	5,384,999	5,615,479	Increase reflects planned staffing levels and employee contractual agreement
214 PERA	1,063,435	1,050,823	1,036,658	
218 TRA	4,771,443	4,782,145	5,208,558	Increase reflects planned staffing levels and employee contractual agreement; increase in TRA contribution
220 Health Insurance	13,990,730	15,760,597	16,487,553	Overall change reflects planned staffing levels and employee contractual agreements/changes to the health insurance plan
225 Dental Insurance	977,540	1,078,469	1,110,258	Overall change reflects planned staffing levels and employee contractual agreements/changes to the health
230 Life Insurance	337,478	270,256	260,519	
235 LTD Insurance	183,429	210,262	275,815	Increase reflects planned staffing levels and employee contractual agreement

EXPENDITURE BY OBJECT

OBJ DESCRIPTION	2023-24 ACTUAL	2024-25 REVISED	2025-26 PRELIM.	NOTES
236 Short Term Disability	130,525	116,600	116,600	
240 Legal Insurance	-1,034	0	0	
245 Vision Insurance	-10,755	0	0	
250 TSA	1,735,233	1,707,580	1,926,422	Increase reflects planned staffing levels and employee contractual agreement
251 Severance TSA	0	20,000	20,000	
252 Severance Health	0	20,000	20,000	
253 Health Care Savings Plan	853,974	813,959	721,094	Change reflects planned staffing levels and employee contractual agreements
254 VEBA Contribution	1,481,828	1,945,410	2,400,000	Change reflects planned staffing levels and employee contractual agreements
270 Workers Compensation	339,393	360,348	299,979	Change reflects planned staffing levels and employee contractual agreements
280 Reemployment Comp Insurance	108,949	108,000	108,000	
281 Unemployment - Hourly Summer	195,190	100,000	100,000	
291 OPEB (pay as you go)	2,063,870	1,028,913	1,028,913	
297 Tuition/Classes	15,996	29,400	29,400	
298 Contract Dues	15,077	17,330	17,330	
299 Other Employee Benefits	3,846	14,200	177,733	Increase is mainly related to the paid family medical leave tax (employer share) effective 1/1/26
300 Contracted Services Not Subs	53,892	125,402	86,502	Reflects planned staffing levels
301 Contracted Service Subs	1,058,094	1,084,160	1,120,000	Reflects planned staffing levels (also see object 145, 150)
302 Background Check	21,512	20,000	22,000	
303 Federal Contracts < \$25,000	116,214	127,189	180,370	Increase mainly relates to planned use of Title I funds
304 Federal Contracts > \$25,000	69,456	84,174	18,978	Decrease relates to federal grant funds
305 Consulting/Service Fees	3,574,292	2,183,484	2,591,927	Increase mainly relates to Long Term Facilities Maintenance and Technology Levy investments
306 Audit Services	121,942	117,500	121,025	
307 Legal Services	168,949	170,000	130,000	
308 Printing Services	52,556	56,550	62,550	
309 Credit Card Fees	24,531	15,000	15,450	
310 Snow Removal/Lawn Services	143,924	220,440	227,053	
312 Officials/Judges	78,763	69,700	85,270	
313 Laundry Services	13,040	21,800	21,800	
314 On-Line Courses	87,020	103,500	95,368	
315 Computer/Tech Repair and Maint	8,281	15,100	47,000	Increase related to the Technology Levy
317 Contracted Subs for SPED Program	525,917	432,600	445,000	
319 Computer/Tech Services	1,024	0	0	
320 Communication Services	67,023	331,610	158,028	Decrease related to projected expenditures
321 Other Contracted Security Services	0	1,000	1,000	
322 School Resource Officer	468,670	508,209	508,209	
325 Recruiting	0	10,000	10,000	
326 Serv Purch Oth Joint-Powers Agreement	40,000	40,000	40,000	
327 Contracted Subs SPED Prog Sch Bus	53,950	14,340	14,340	
329 Postage	44,149	57,859	56,325	
330 Electricity	1,436,115	1,430,307	1,494,148	Increase reflects inflationary costs
331 Natural Gas	410,300	771,642	771,642	
332 Water and Sewer	194,512	177,033	186,137	Increase reflects inflationary costs
333 Garbage Collection	128,972	118,940	131,225	Increase reflects inflationary costs
335 Short Term Lease/Rental	975,377	1,485,269	1,002,847	
340 Insurance	784,739	980,000	1,115,000	Increase is related to 2025-26 property and liability insurance
341 Physical Therapy Serv >\$25,000	0	195,000	0	Decrease relates to federal grant funds
350 Repair/Maintenance Services	1,521,847	1,137,658	1,103,599	
357 Interpreter for Deaf Services	226	763	763	
358 Foreign Language Interpreter	21,977	20,000	15,000	
360 Transportation Contracts	12,891,113	11,873,340	12,863,476	Increase reflects inflationary costs and contractual agreements
365 Transportation Chargebacks	0	2,300	2,080	
366 Travel and Conferences	235,000	355,140	274,752	Decrease related to projected expenditures
368 Out Of State Travel - Federal	5,091	0	0	
369 Entry Fees/Student Travel Exp	534,446	547,223	525,700	
371 Physical Therapy Serv <\$25,000	0	25,000	25,000	
390 Tuition To Oth MN Sch District	298,558	420,050	377,031	Decrease related to projected expenditures

EXPENDITURE BY OBJECT

OBJ DESCRIPTION	2023-24 ACTUAL	2024-25 REVISED	2025-26 PRELIM.	NOTES
391 Pmt To MN Sch-Cost Share Agmt	594,102	627,150	666,050	Increase related to projected expenditures
392 Tuition Out-Of-State Sch Dist	0	0	10,000	
393 Sped Cont Serv - Non Sch Dist	398,544	157,800	178,275	
394 Payments to Oth Agencies	1,261,777	961,950	1,000,950	
396 Sped Sal Purchase fr Oth Dist	433,378	358,000	358,000	
397 Sped Bens Purchase fr Oth Dist	194,464	177,035	177,035	
398 Administrative Chargebacks	-503,970	-525,319	-543,278	
401 Non-Instructional Supplies	983,699	1,012,607	950,078	
404 ID Badges	2,260	2,000	2,000	
405 Non-Instructional Annual Software License	973,812	924,945	1,176,767	Overall change reflects a budgeted increase with the Technology Levy and decreases within General Fund program levels
406 Instructional Software License	336,665	381,208	522,372	Overall change reflects a budgeted increase with the Technology Levy and decreases within General Fund program
409 Uniforms	6,124	9,400	9,400	
410 Custodial/Repair Supplies	639,805	534,672	529,500	
430 Instructional Supplies	328,718	381,290	242,222	The 2025-26 Revised Budget will include any grant expenditures beyond the current projection
433 Individualized Instructional Supplies	66,038	76,131	55,131	Decrease related to projected expenditures
440 Fuel For Buildings	35,429	46,000	46,000	
442 Gasoline	27,085	28,966	29,500	
455 Non-Instructional Technology Supplies	24,628	11,025	14,315	
456 Instructional Technology Supplies	12,857	31,355	8,000	Decrease related to projected expenditures
460 Textbooks and Workbooks	1,083,157	547,009	225,850	Decrease relates to Read Act Literacy Aid included in the 2024-25 Revised Budget; Funds will be set aside in fund balance if not spent (Note: \$1,000,369 for curriculum is not reflected in these totals)
461 Standardized Tests	112,618	164,805	109,000	Decrease related to projected expenditures
465 Non-Instructional Technology Devices	335,015	340,600	758,183	Increase related to the Technology Levy
466 Instructional Technology Devices	453,335	715,731	834,519	Increase related to the Technology Levy
470 Library Books	68,355	150,900	61,947	
490 Food	33,554	26,017	29,150	
520 Bldg Acquisition/Construction	4,660,386	7,376,651	5,117,640	Decrease due to decreases in Long Term Facilities Maintenance projects, operating capital projects and wireless network completion in 2024-25
522 Vandalism	12,174	25,000	25,000	
530 Other Equipment Purchased	416,369	1,005,585	440,300	Decreases relate to operating capital project level activity (*Note: \$70,000 for music equipment is not reflected in these totals)
533 Sped Equipment	18,161	10,000	10,000	
555 Cap Non-Instr Tech Hardware	36,037	2,250	1,450	
556 Cap Instruct Tech Hardware	3,577	0	0	
560 Long Term Comp/Tech Lease Principal	727,710	765,800	7,109	Decrease relates to the Technology Levy
561 Long Term Comp/Tech Lease Interest	26,619	50,820	0	Decrease relates to the Technology Levy
562 Principal - Long Term SBITA	125,178	0	0	
563 Interest - Long Term SBITA	5,459	0	0	
730 Loan Principal	960,000	990,000	990,000	
740 Loan Interest	298,900	260,500	260,500	
820 Dues and Memberships	89,133	107,310	91,685	
891 TRA/PERA Special Funding Expenditures	352,893	0	0	
895 Federal Indirect Costs	-4,351	-28,705	-9,220	
896 Taxes, Special Assessments and Interest	7,923	2,500	2,500	
898 Scholarships	35,603	30,000	30,000	

Total **144,863,068** **152,008,935** **153,373,977** *Note: \$1,070,369 for curriculum and music equipment is not reflected in the General Fund total
Operating Capital fund balance will be utilized for these expenditures

FOOD SERVICE FUND

100 Administrators	120,565	134,750	138,250	
120 Supervisors	184,693	336,750	345,250	
160 Cooks	1,763,975	2,062,925	2,089,300	
162 Subs-Cook	60,042	61,250	77,400	Increased due to cook vacancies and more subs available to work
170 Tech Support	50,818	58,000	57,000	

EXPENDITURE BY OBJECT

OBJ DESCRIPTION	2023-24 ACTUAL	2024-25 REVISED	2025-26 PRELIM.	NOTES
172 Custodians	21,372	31,500	32,000	
173 Overtime	3,857	5,000	2,000	
186 Event Pay	402	1,750	1,250	
187 Hiring Bonus	7,500	0	0	
210 FICA	162,885	216,000	196,700	
214 PERA	158,320	194,415	196,525	
220 Health Insurance	489,352	618,570	640,600	Increased due to the addition of benefit eligible positions
225 Dental Insurance	31,039	41,280	38,575	
230 Life Insurance	1,705	2,105	1,800	
235 LTD Insurance	3,348	4,692	4,775	
236 Short Term Disability	481	450	500	
250 TSA	23,355	32,555	26,400	
253 Health Care Savings Plan	5,500	11,000	0	
254 VEBA Contribution	37,750	69,460	99,229	Increased due to the addition of benefit eligible positions
270 Workers Compensation	63,876	80,080	75,710	
305 Consulting/Service Fees	8,065	7,650	8,500	
308 Printing Services	60	0	0	
309 Credit Card Fees	32,239	35,000	35,000	
320 Communication Services	1,375	3,000	2,400	
329 Postage	686	750	700	
333 Garbage Collection	28,930	32,000	32,000	
350 Repair/Maintenance Services	85,901	70,000	55,000	Decreased due to recent investment in new equipment
366 Travel and Conferences	4,635	7,850	4,525	
398 Administrative Chargebacks	128,710	145,000	150,000	
401 Non-Instructional Supplies	93,192	124,740	100,000	Decreased to reflect projected expenditures
402 Promotions	3,686	3,500	0	
403 Small Equipment	38,628	58,650	53,250	
404 Signage	17,424	31,300	5,000	Decreased as districtwide signage project is complete
405 Non-Instructional Annual License/Software	19,970	22,520	21,365	
409 Uniforms	0	13,500	13,500	
442 Gasoline	254	350	300	
455 Non-Instructional Technology Supplies	11,301	14,600	11,600	
465 Non-Instructional Technology Devices	399	1,000	23,000	Increased to reflect planned purchase of pin pads and timeclocks
490 Food	2,111,624	2,522,075	2,485,000	
491 Commodities	497,820	408,592	487,828	Increased due to additional commodities per MDE
495 Milk	209,913	142,000	88,300	Decreased to reflect projected expenditures
530 Other Equipment Purchased	479,839	303,500	255,000	Decreased due to less equipment needs for 2025-26
820 Dues and Memberships	2,947	4,245	3,700	
Total	6,968,433	7,914,354	7,859,232	

COMMUNITY SERVICE FUND

100 Administrators	177,025	184,879	190,350	
120 Supervisors	535,228	526,529	529,375	
121 Confidential/Specialists	28,405	51,892	74,322	Increased to reflect projected staffing levels
122 Subs-Health Specialists	189	225	225	
123 SAC Site Leaders	438,387	438,944	464,427	Increased to reflect additional programming
125 Schl Readiness/ABE Supervisor	217,118	232,504	245,550	
140 Teachers	1,211,284	1,339,439	934,512	Decreased due to shift from Pathways I to VPK for school readiness
141 Community Ed Assistants	1,694,672	1,782,189	1,895,642	Increased to reflect additional programming
143 Coordinators	65,368	69,650	73,441	Increased to reflect additional programming
154 School Nurse	9,073	15,072	15,409	
155 Health Care Specialists	16,689	19,256	19,256	
165 School Counselors	4,614	17,970	17,970	

EXPENDITURE BY OBJECT

OBJ DESCRIPTION	2023-24 ACTUAL	2024-25 REVISED	2025-26 PRELIM.	NOTES
170 Tech Support	294,693	304,787	312,914	
172 Custodians	34,198	30,226	32,008	
173 Overtime	71,898	53,815	62,780	Increased primarily due to SAC programming.
186 Casual/Other Prmts Non-Licensed	385,426	378,957	391,351	Increased due to shift from licensed staff (189) to non licensed staff (186)
189 Casual/Other Prmts Licensed	85,861	83,415	61,660	Decreased due to shift from licensed staff (189) to non licensed staff (186)
210 FICA	393,899	427,647	440,679	
214 PERA	239,768	276,666	288,813	
218 TRA	138,227	148,502	151,458	
220 Health Insurance	570,278	627,613	732,592	Increased due to additional staff, primarily for SAC
225 Dental Insurance	40,611	44,620	50,836	Increased due to additional staff, primarily for SAC
230 Life Insurance	12,104	11,860	11,838	
235 LTD Insurance	5,667	8,493	8,136	
236 Short Term Disability	4,470	21,209	0	
250 TSA	71,202	76,443	90,963	Increased due to additional staff, primarily for SAC
253 Health Care Savings Plan	38,839	46,761	46,291	
254 VEBA Contribution	66,775	109,059	118,896	
270 Workers Compensation	28,713	26,666	26,229	
297 Tuition/Classes	3,093	5,200	5,200	
299 Other Employee Benefits	204	300	300	
301 Contracted Service Subs	50,285	53,000	38,500	Decreased to reflect projected expenditures needed
304 Advertising Services	50	500	500	
305 Consulting/Service Fees	631,991	620,170	631,557	
308 Printing Services	52,444	68,900	55,200	Decreased to reflect projected expenditures
309 Credit Card Fees	189,451	197,597	225,656	Increased to account for increased programming for SAC
310 Snow Removal/Lawn Services	1,292	4,400	3,000	
320 Communication Services	3,253	9,775	10,475	
329 Postage	11,295	12,100	11,900	
330 Electricity	22,887	26,200	21,200	
331 Natural Gas	4,731	8,000	7,000	
332 Water and Sewer	8,948	8,700	8,500	
333 Garbage Collection	1,615	2,000	1,500	
335 Short Term Lease/Rental	20,804	19,920	20,600	
350 Repair/Maintenance Services	723	1,250	850	
358 Foreign Language Interpreter	1,290	1,300	500	
360 Transportation Contracts	76,757	56,700	56,812	
366 Travel and Conferences	11,653	25,833	18,510	Decreased due to less conferences planned
369 Entry Fees/Student Travel Exp	66,506	77,795	82,245	
398 Administrative Chargebacks	375,260	412,755	393,278	Decreased to reflect reduction in overall expenditures
401 Non-Instructional Supplies	124,302	141,818	141,916	
405 Non-Instructional Annual License Software	3,054	11,278	12,302	
406 Instructional Software License	4,983	3,120	3,120	
410 Custodial/Repair Supplies	12,818	7,000	4,500	
430 Instructional Supplies	2,437	7,150	8,500	
455 Non-Instructional Tech Supplies	345	0	0	
460 Textbooks and Workbooks	43,498	61,196	61,196	
461 Standardized Tests	413	550	550	
465 Non-Instructional Devices	705	11,774	4,296	
490 Food	106,982	107,581	116,098	Increased to reflect additional SAC programming
530 Other Equipment Purchased	3,838	14,960	18,123	
560 Long Term Computer/Tech Lease	0	2,505	500	
820 Dues and Memberships	21,376	22,800	22,565	
895 Federal Indirect Costs	4,351	9,220	9,220	
Total	8,744,317	9,368,635	9,284,092	

EXPENDITURE BY OBJECT

OBJ DESCRIPTION	2023-24 ACTUAL	2024-25 REVISED	2025-26 PRELIM.	NOTES
BUILDING CONSTRUCTION FUND				
100 Administrators	43,595	40,503	232,352	Increased to reflect salaries charged to building bonds (project support related)
170 Tech Support	0	0	42,196	Increased to reflect salaries charged to building bonds (project support related)
210 FICA	3,308	3,111	13,452	
214 PERA	3,220	3,038	13,634	
220 Health Insurance	3,697	3,724	22,316	
225 Dental Insurance	319	323	1,405	
230 Life Insurance	233	237	788	
235 LTD Insurance	121	123	578	
250 TSA	1,389	1,277	6,202	
253 Health Care Savings Plan	0	271	11,628	
270 Workers Compensation	185	174	781	
305 Consulting/Service Fees	2,063,135	6,025,000	0	Part of total overall bond activity
307 Legal Services	85,303	51,000	0	Part of total overall bond activity
510 Site or Grounds Acquisition	5,423,602	14,000,000	0	Decreased due to site acquisitions completed in 2024-25
520 Bldg Acquisition/Construction	9,075,738	16,830,000	124,794,710	Increased to reflect planned bond expenditures
896 Taxes, Special Assessments & Int	813	0	0	
Total	16,704,658	36,958,781	125,140,042	
DEBT SERVICE FUND				
710 Bond-Principal	6,975,000	8,705,000	9,900,000	Increased to reflect actual debt service principal payments
720 Bond-Interest	3,175,885	8,034,471	7,599,221	Decreased to reflect actual debt service interest payments
790 Oth Debt Service Expenditures	739,238	10,000	10,000	
920 Bond Refunding Payments	60,380,000	0	0	
Total	71,270,123	16,749,471	17,509,221	
CUSTODIAL FUND (SCHOLARSHIPS)				
All Gift Directed Expenditures	13,831	7,000	7,000	
Total	13,831	7,000	7,000	

SECTION IV

GLOSSARY



GLOSSARY

Revenue Codes

Local Revenue (Source 001-099, 510-592)

001	<u>Property Tax Levy - General</u> This levy represents the local property tax effort in each fund. The property tax levy is reduced by the amount of state tax credits, fiscal disparities and county apportionment revenue.
004	<u>Revenue from Municipalities for Tax Increment Finance</u> Record all revenues received from cities or counties for tax increment financing district payments.
005	<u>Reemployment Compensation Levy</u> The reemployment compensation levy is based on the estimated expenditure during the year in which the levy will be received. The levy is reduced (increased) by any appropriated balance (deficit) projected.
009	<u>Fiscal Disparities Revenue</u> Record revenue from the fiscal disparities adjustment as found in the county report.
010	<u>County Apportionment</u> Record revenue that the county auditor apportions to school districts at the time of the March and November settlements.
019	<u>Miscellaneous Tax Revenues</u> Record miscellaneous county tax revenues.
021	<u>Tuition from Other Minnesota School Districts</u> Tuition receipts received from other Minnesota school districts for services provided by ISD 834 during regular and summer sessions.
022	<u>Special Education Purchased Services from Other Minnesota School Districts</u> Record reimbursement and revenue from a Minnesota school district for all special education costs that have been sold to another district.
040	<u>Tuition</u> Revenue from students, parents, or guardians for tuition.
050	<u>Fees from Patrons</u> Fees consist of various charges made to students, parents, or guardians for the rental or use of school equipment and all other charges permitted by law.
051	<u>Parking Fees</u> Fees charged to students for the use of the student parking lots.
053	<u>Transcript Fees</u> Fees charged for copies of transcripts.
060	<u>Admissions and Student Activity Revenue</u> This revenue source is from district admission charges for athletic and fine arts events.
071	<u>Medical Assistance Revenue</u> Revenue received from billing medical assistance for the provisions of IEP.
088	<u>E-Rate</u> Federal reimbursement for telecommunications services.

092	<u>Interest Earnings</u> This is income from temporary investments in government bonds, treasury certificates, or other investments authorized by statute.
093	<u>Rent for School Facilities</u> This revenue is from rental of district facilities. Examples include gyms and pools.
096	<u>Gifts and Bequests</u> This revenue reflects contributions from local philanthropic foundations, local private individuals, or local private organizations for which no repayment or special service to the contributor is expected.
099	<u>Miscellaneous Local Revenue</u> This revenue source includes other miscellaneous revenue from local sources not classified elsewhere.
510 - 592	<u>Miscellaneous Community Service Program Revenue</u> This is revenue received from patrons for community service programs and services.

State Revenue (Source 200-399)

201	<u>Endowment Fund Apportionment</u> Revenue received from the permanent school fund. The amount of the revenue is determined by dividing the earnings by the number of pupil units in average daily attendance in the State of Minnesota. General education aid is reduced by the amount of revenue from this source.
211	<u>General Education Aid</u> This aid represents the state share of the basic general education revenue. It is based on the difference between the local tax effort and the total revenue allowed in the general education formula. This includes the sum of basic skill (compensatory, assurance of mastery and limited English proficiency), training and experience, transportation sparsity, operating capital, equity and supplemental aids.
213	<u>Shared Time Aid</u> Shared time aid represents state revenue received for a student that attends both public and nonpublic school. State revenue is based on the percentage of the student time attending the public school.
227	<u>Abatement Aid</u> This state aid is received from the state for a calculated percentage of the net revenue loss in prior years due to county abatements of property tax levies.
234	<u>Agricultural Market Value Credit</u> This is revenue received for agricultural market value credit.
300	<u>State Aids Received from MN Department of Education</u> This revenue code is used to record state aids and grants for projects specifically defined by the MN Department of Education.
301	<u>Nonpublic School Aid</u> Revenues received from the state for services and materials provided to nonpublic school students. Textbooks, instructional materials, guidance services, and nursing services are examples of items that may be provided.
308	<u>Telecommunications/Internet Access Equity Aid</u> Reimbursement for specific telecommunications/internet access, data lines & video link costs as prescribed by MN Statute 125B.26.
360	<u>State Aid for Special Education</u> Partial reimbursement for expenditures in special education is received from this state aid. This aid represents a percentage of both salary and equipment costs of the district.

369	<u>Other Revenue from Other State Agencies</u> Record state revenue received from state agencies other than MDE. This code is also used to record unemployment insurance.
370	<u>Miscellaneous Revenue from MN Department of Education</u> This represents miscellaneous revenue received from the MN Department of Education.
397	<u>TRA AND PERA Special Funding Situations Revenue</u> Record the support received from the State of Minnesota per GASB Statement No. 68.

Federal Revenues (Source 400-499, 599)

400	<u>Federal Aids Received through the MN Department of Education</u> This revenue code is used to record revenue from federal aids and grants received through the MN Department of Education for specifically defined projects.
405	<u>Federal Aids Received through Other Agencies</u> This is federal aid received from agencies other than the MN Department of Education.
471	<u>School Lunch Program</u> This is federal aid received as part of the federal school lunch program.
472	<u>Free and Reduced Lunch Program</u> This federal aid provides free or reduced-price lunches for qualifying students.
473	<u>Commodity Cash Rebate Program</u> This is used to record the cash rebate payment received from the Food and Nutrition Service of the MN Department of Education for the value of the USDA Commodities contained in approved commercial products purchased by the district.
474	<u>Commodity Distribution Program</u> This represents federal surplus food commodities provided to the school district. The quantities are based on average daily participation in the food service program from the prior year.
476	<u>School Breakfast Program</u> This federal aid provides free, reduced-price, and paid breakfasts for students.
479	<u>Summer Food Service Program</u> Record federal revenue earned from the summer food service program.
500	<u>Miscellaneous Federal Direct Aid</u> This represents miscellaneous federal revenue received directly from the federal government.

Other Revenue (Source 600-699)

601	<u>Food Service Sales to Pupils</u> Revenue generated from sales of food, milk, etc., to pupils.
602	<u>Food Service Sale of Milk</u> This revenue represents sales of milk.
606	<u>Food Service Sales to Adults</u> Revenue generated from sales of food, milk, etc., to adults.
608	<u>Special Function Food Sales</u> Record revenue generated from food services provided for school-related meetings and lunch functions not related to the National School Lunch Program.

619	<u>Cost of Materials for Revenue Producing Activities (Contra Revenue)</u> Record the cost of the materials that were purchased for the purpose of producing an object for sale or for reselling of the material at a profit.
620	<u>Sales of Materials from Revenue Producing Activities</u> Record the revenue generated from the sale of goods and services under the control of the Board of Education.
621	<u>Sale of Materials Purchased for Resale</u> Record revenue from sales of materials and supplies to pupils.
624	<u>Sale of Equipment</u> Record proceeds from the sale of equipment.
625	<u>Insurance Recovery</u> Record revenue from insurance recoveries for losses of school property.
628	<u>Judgements for School District</u> Record non-recurring funds received as a result of class action suits/litigation settlements.
631	<u>Sale of Bonds</u> Record proceeds received from the sale of bonds.

Expenditure Object Codes

100 -199	<u>Salaries and Wages</u> This series of expenditure codes are related to all full and part-time employees of the district. They do not include self-employed personnel or independent contractors.
200 -299	<u>Employee Benefits</u> This series of expenditure codes relates to the non-salary costs of benefits paid on behalf of district employees. These include FICA, PERA, TRA, workers' compensation, dental insurance, health insurance, life insurance, long-term disability insurance, and reemployment insurance.
300 -399	<u>Purchased Services</u> The account codes in this series are used for expenditures for contracted personnel and other purchased services. Included in this series are expenditures for legal services, telecommunication services, transportation contracts, tuition paid to other Minnesota school districts, insurance, and utility costs.
400- 499	<u>Supplies and Materials</u> Expenditures in this series relate to tangible items of an expendable nature. These include textbooks, instructional & general office supplies, lunchroom supplies, and food for preparing student meals. Other costs relate to the facilities department for building upkeep and maintenance.
500 -599	<u>Capital Expenditures</u> The cost of purchasing instructional and non-instructional equipment, refurbishing and remodeling buildings, construction of portable buildings, and other major maintenance projects are budgeted in this account series. Installment payments for the principal and interest amounts of purchased equipment are also included in this series.
700 -799	<u>Debt Service</u> These expenditures cover debt service principal, interest, and other related costs.
800 -899	<u>Other Expenditures</u> Other expenses include other miscellaneous expenses not elsewhere categorized, including indirect cost allocations, dues and memberships.

SECTION V

SUPPLEMENTAL INFORMATION

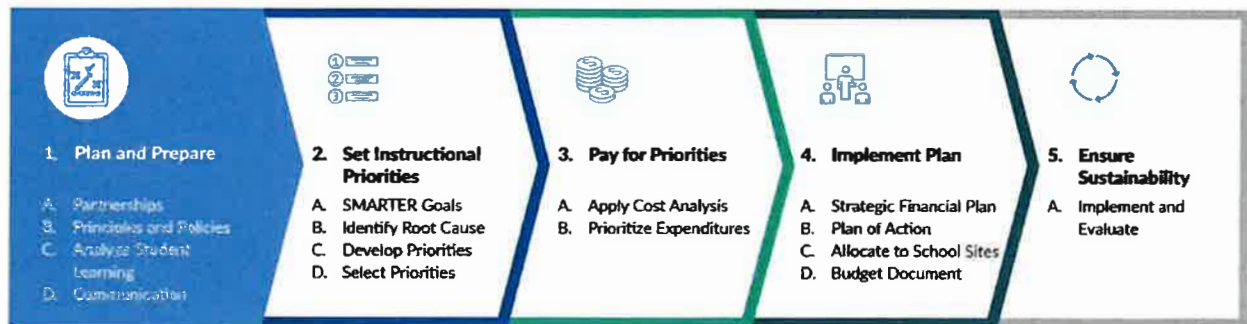


2025-26 Preliminary Budget Guidelines & Assumptions

The purpose of Stillwater Area Public Schools is to inspire curiosity and the love of learning in every child. We provide a wide range of engaging learning opportunities to build the resilience and empathy learners need to successfully navigate their futures.

We are committed to creating a culture that supports students and staff so that they can be their best. To that end, district leaders are utilizing a Priority-Based Budgeting (PBB) process to ensure money is being invested in areas that support the district's goals. PBB identifies the programs that offer the highest value and continues to provide funding for them, while fixing, replacing or eliminating programs or services that have shown limited value or success.

Priority-Based Budgeting Framework:



Source: Government Finance Officers Association

The preliminary budget is being established to mirror the beliefs of the district and align with the strategic plan's directions, objectives and key initiatives.

Beliefs:

- Everyone belongs
- Everyone has a voice
- All students deserve an excellent education
- The whole child matters
- Curiosity thrives here

Strategic Directions:

- Strategic Direction A: Ensure the learning process is adaptable to meet individual student needs
- Strategic Direction B: Foster a safe, welcoming and inclusive environment for all staff and students
- Strategic Direction C: Utilize systems and align resources in an efficient manner to support learning
- Strategic Direction D: Develop strong partnerships with the communities we serve



Strategic Plan Objectives:

The objectives of our strategic plan are based on the Minnesota Department of Education's Comprehensive Achievement and Civic Readiness goals.* Each year, our school board members and district staff work together to set goals in each of the five focus areas. Goals may range from one to three years in length.

Strategic Plan/Comprehensive Achievement and Civic Readiness Objectives

- All children are ready for school
- All students can read at grade level beginning in Kindergarten
- All racial and economic achievement gaps are closed
- All students are ready for career and college
- All students graduate from high school

*Minnesota Statute 120B.11

Strategic Plan Key Initiatives:

- Literacy
- School Culture, Equity & Inclusion
- Social Emotional Learning

Preparing Preliminary Budget Calculations:

Enrollment: Enrollment for the 2025-2026 school year will be projected using the information provided by the MARSS/Enrollment Office as of 2/17/25. The Chief Financial Officer will coordinate any final changes to projected enrollment, as necessary.

2025-2026 Revenue Projections

- Revenue will be calculated using the current formula allowances in State legislation.
- Levy revenue will be based on the amount certified by the School Board on December 17, 2024, with adjustments for enrollment, as necessary
- Federal revenue, including entitlements, will be based on preliminary information provided by the Minnesota Department of Education (MDE) & district estimates

2025-2026 Expenditure Projections

- Expenditure projections are based on actual salaries and benefits, honoring all labor agreements
- Staffing allocations are based on projected enrollment
- Benefit rates will include changes in rates for medical & dental insurance, pension contributions (PERA, TRA), or other changes to benefit plans
- Projections for certain non-salary expenditures will include adjustments for inflation
- Use of restricted fund balance for next fiscal year must follow Policy 714 & statutory guidance

Fund Balance: In accordance with Policy 714 – Fund Balances, the school district will strive to maintain a minimum unassigned general fund balance of five (5) percent of the annual general fund budget.

Presenting the 2025-2026 Budget:

Timeline: A 2025-2026 budget timeline will be shared with the School Board and published in the [Business & Finance](#) section of our website.

Presentation Format: Summary information will be presented by fund, in addition to comparisons of revenue, expenditures and changes in fund balance. The preliminary budget document will include an overview of the district and goals of the strategic plan, enrollment projections and trends, staffing allocation ratios, in addition to budget summaries by fund that will highlight key areas that have changed for the upcoming fiscal year.

The Preliminary Budget: In accordance with Policy 701 – Establishment and Adoption of School District Budget, the School Board shall approve and adopt its initial revenue and expenditure budgets for the next school year prior to July 1 of each year. Preliminary Budget documents and presentations will be available on the [Business & Finance website](#).



2025-26 Budget Timeline

